

ESG Risk¹ Report

Fundname/ClientName(entityName)
Holdingsdatum (Format: Dec 2023)

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Our Commitment

Reporting Goals

Zurich Invest is committed to prioritizing environmental sustainability and mitigating environmental risks through its dedicated efforts. This reporting creates a communication channel with stakeholders for updating on the portfolio's key risks, our efforts in limiting these, and the status of transformational change. It offers a comprehensive analysis of the portfolio, providing detailed insights into high-level ESG ratings, controversies, and business involvement risks.

By evaluating the success of our measures, we intend to raise awareness of what has already been done, and the effort necessary to achieve the overarching goal of a better future.

Throughout this report, the portfolio's ESG credentials will be demonstrated and its rating analyses transparently shown and compared against a more vanilla benchmark. Details on the benchmark and its composition are provided on the following page.

We are a responsible investor

Guided by our key objectives, as well as our core beliefs ("our three ESG principles"), we aim at incorporating an ESG perspective into every step of our investment process. The Zurich Invest ESG strategy consistently integrates a climate action focus, which is being successfully executed with the invaluable support of a robust framework.

We believe that by facilitating dialogue between portfolio companies and stakeholders, making targeted investments for positive societal impact, and rigorously measuring progress towards decarbonization, we can create lasting, sustainable value. By having a positive impact on our surrounding world, we ultimately aim at helping people improve their lives.

Our current focus of responsible investing thus involves managing ESG risks to help enable our clients brace themselves for imminent risks and, at a later step, to capture opportunities by offering a holistic platform of investment solutions and data analytics.

The transition to a low carbon economy demands a transformation of the entire economy. All companies will be profoundly affected by this change. While this transition will inevitably be complex and difficult, it is essential to building a more resilient economy that benefits more people.

Our Three ESG Principles:



1. ESG Integration

Integrating ESG factors

- Training
- Information
- Process Integration
- Active Ownership



2. Impact Investing

Making an impact by offering dedicated solutions

- Intentionality
- Measurability
- Profitability



3. Advancing Together

Collaborating to advance responsibly in investment

- Innovation
- Collaboration
- Public Advocacy

These principles provide a moral and ethical compass for Zurich Invest, so actions and decisions might have a greater positive impact on the environment and society.

MSCI ESG Ratings Methodology

1

For the purpose of evaluating this report in terms of ESG (and to compare it with the benchmark), the MSCI ESG Ratings Methodology is used throughout this entire report. Ratings take into consideration the portfolio companies’ exposure to material ESG risks, and the quality of management to mitigate potential risks. To gain a more thorough understanding of the contents of this report, you will find below a concise overview that outlines the calculation of ratings and the identification of associated risks.

2

Chapter I - ESG Ratings/Scores

MSCI ESG Ratings evaluate companies individually based on key environmental and social risks, as well as governance ratings. Key issue weights are determined through a combination of approaches, assigning 33% to the G pillar and distributing the remaining weight between E and S based on materiality. Overall E, S, and G pillar scores are then calculated via the weighted averages of underlying issue scores. After calculating the weighted average of pillar scores once more, an overall company score (0-10) is derived, which must be interpreted in relation to industry peers. Normalizing this score relative to the ESG Rating industry peer group, calculates the industry-adjusted score. The MSCI ESG letter matrix maps the industry-adjusted score to a letter rating, ranging from AAA to CCC. Portfolio ratings are derived by calculating the weighted average of individual company ratings based on portfolio holdings, enabling comparisons and insights into overall sustainability profiles. Weightings of this rating step are based on the proportion of each company’s holdings within the portfolio.

Chapter II - ESG Controversies

MSCI calculates ESG controversies by evaluating and assessing the involvement of companies in controversial activities or incidents that have potential negative environmental, social, or governance impacts. MSCI assigns a rating or score to each company based on the level of controversy and the impact it may have on the company’s overall ESG profile.

The percentage of portfolio coverage refers to the proportion (number) of companies within a portfolio that are assessed for their involvement in ESG controversies. It may vary depending on factors such as data availability, reporting transparency, and the specific methodology used.

3

MSCI ESG scores are on a 0-10 scale, where 0 is very poor and 10 is very good.

A preset score-to-letter-rating matrix is utilized to convert the numerical score into a corresponding letter rating, ranging from AAA (highest) to CCC (lowest).

MSCI ESG Rating Skala

Letter Rating	ESG Score
AAA	8.6–10
AA	7.1–8.6
A	5.7–7.1
BBB	4.3–5.7
BB	2.9–4.3
B	1.4–2.9
CCC	0–1.4

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Involvement Exposure

which a company is involved in activities or practices that have potential negative impacts on the environment. MSCI evaluates the business involvement exposure of companies by analyzing their operations and assessing the level of potential risk associated with their involvement in controversial activities. Based on this, MSCI assigns a rating or score to each company.

	R0/G158/B61
	R118/G184/B42
	R255/G237/B0
	R255/G213/B0
	R251/G186/B0
	R235/G91/B37
	R228/G5/B33

What is our benchmark, and how is it calculated?

For our ESG analyses¹, we use a benchmark which is comprised of similar proportions to the portfolio to best reflect the asset allocation and sector exposure of the fund. This approach provides a basis for evaluating the portfolio's performance relative to a benchmark that closely resembles its investment strategy and composition.

Benchmark Description

This report analyses specific exposures of the (Client Name) portfolio with a focus on long-term, environmental risk factors.

For relatively evaluating all focal areas of this report, which are ESG ratings, controversies, and business involvement risks, we are comparing this portfolio to a widely recognized global equity index that includes a broad range of companies from developed and emerging markets. It provides investors with a comprehensive view of the global stock market by covering a large number of countries and sectors.

The index is often used as a benchmark to assess the performance of global equity portfolios and to track the overall performance of global stock markets. The index covers a large majority of the global investable equity universe.

1

¹ All ESG metrics are based on MSCI data unless otherwise stated. Calculations are based on the underlying companies into which the portfolio invests. Further detail in respect of the methodology can be found on the next page and at msci.com.

The portfolio comparison at a glance.

When compared to its benchmark, the portfolio shows:

12% ²

Better overall ESG rating

32%

Better overall exposure to controversies

57%

PRI rating achieved for our overall approach to responsible investing

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I. ESG Ratings/ Scores

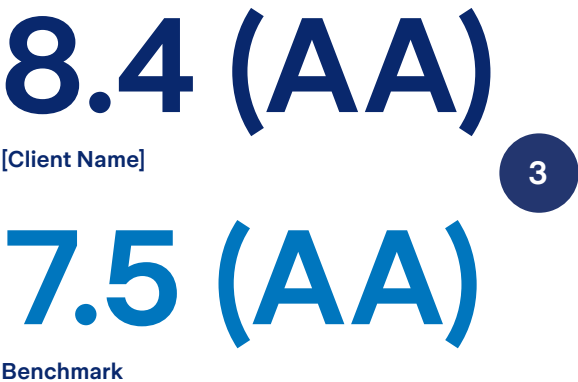
Top Level

These high-level analyses give an overview of how your portfolio compares to its benchmark (see p. 3 for more information) on a broad range of environmental, social, and governance data points. For a fuller breakdown of these individual points, please refer to the sections that follow.

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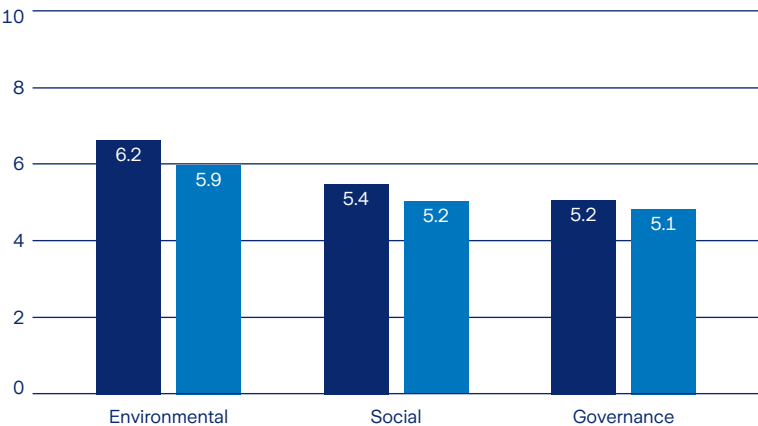
ESG Rating

This shows the average weighted value of all ESG criteria, to give an overall rating from AAA (best) to CCC (worst):



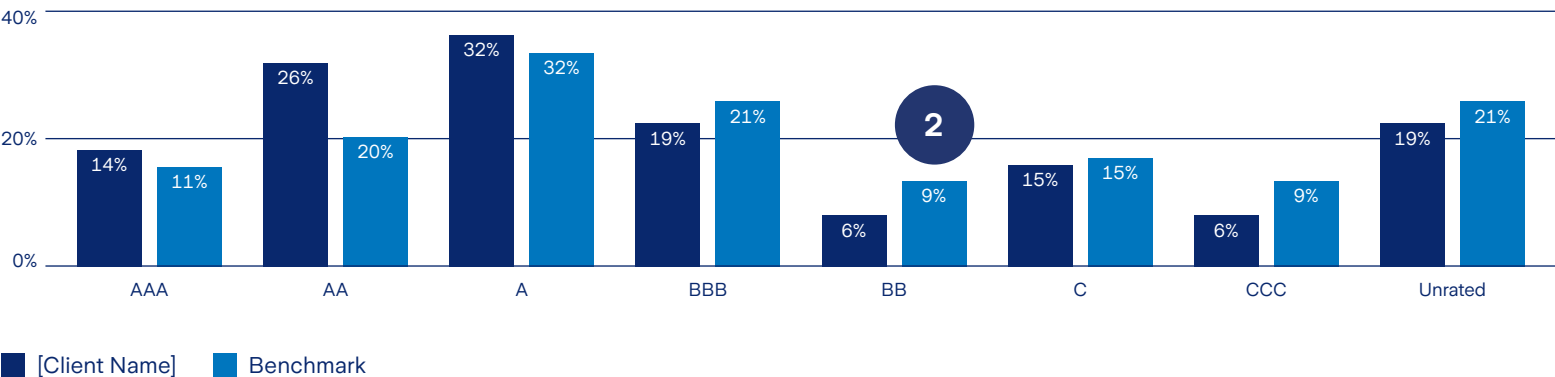
ESG Pillar Rating

Scores (0.0 – 10.0) are calculated using MSCI ESG Ratings. ESG ratings measure and analyse the underlying companies’ material risk and opportunities arising from environmental, social, and governance issues.



ESG Rating Distribution

The distribution of ESG ratings for all underlying companies based on the AUM from AAA (best) to CCC (worst) (%).



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II. ESG Controversies

Exposure

An ESG controversy case is defined as either an event or an ongoing situation in which company operations and/or products allegedly have a negative environmental, social and/or governance impact. MSCI ESG Controversies assessments measure companies' reputational/brand risk based on actual or alleged involvement in adverse impact activities as reported by the media, non-governmental organizations (NGOs), civil society groups, academia, regulators and other stakeholders.



The portfolio's exposure to ESG controversies underscores the importance of ongoing engagement with portfolio companies.

The MSCI ESG Controversies methodology is applicable to corporate issuers only

Portfolio Exposure to Controversies

This score rates the underlying companies on a scale from 0.0 (worst) - 10.0 (best) in terms of notable controversies and the severity of the social or environmental impact of those controversies.

ESG Controversies Coverage		
	Portfolio Weight	Benchmark Weight
Percentage of portfolio covered	96.34%	96.34%

Controversy Distribution

The charts below show the percentage of the underlying companies with ESG controversies within the [Client Name] (left) and the benchmark (right).

